REGULATORY DEFENCE PACK

ChartVolt
Statement of Regulatory Position and Supporting Evidence

Why ChartVolt's paid skill competitions, one-against-one challenges, simulated-trading competitions and Volts ledger fall outside gambling, investment-services, electronic-money and payment-institution licensing — and the controls that keep them there.

FOR BANKS
Account opening, onboarding and periodic due diligence

FOR ACQUIRERS & PSPS
Underwriting, MCC classification and scheme registration

FOR REGULATORS
Perimeter enquiries in Cyprus and in each market served

Issuer
ChartVolt

Date
13 October 2026

Primary jurisdiction
Republic of Cyprus, within the European Union

Basis
Published legislation, regulatory guidance and the platform's source code

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SECTION 1

Purpose, Scope and Reservations

1.1 This pack sets out ChartVolt's regulatory position and the evidence behind it, in a form a bank, an acquirer, a payment service provider or a competent authority can test. It addresses five perimeters: **gambling and betting**; **investment services** (MiFID II); **electronic money** (EMD2); **payment services** (PSD2); and **anti-money-laundering** (AMLD). For each it states the legal test, the facts of the platform that answer it, and the control in the code that keeps those facts true.

1.2 **Factual basis.** Every factual statement about the platform in this pack was checked against ChartVolt's source code on 13 October 2026. Section 13 maps each control to the place it is enforced so it can be demonstrated live on request.

1.3 **Legal basis.** The legal analysis follows ChartVolt's Preliminary Legal Opinion of 13 October 2026 and the instruments listed under References. Gambling law is not harmonised in the European Union, so the conclusions on gambling apply market by market. This pack is ChartVolt's statement of position; the formal opinion of Cyprus-qualified counsel, and of local counsel in each further market, is obtained separately and supersedes this pack where they differ.

1.4 **What "operated" means.** Where this pack describes a control as operating in every live market, that is the configuration ChartVolt runs in production. Several controls are switchable by an administrator; the switch, the default and the place of enforcement are recorded in Section 13 so that the configuration can be verified rather than taken on trust.

SECTION 2

Summary of Position

2.1 ChartVolt provides **skill-based competitive entertainment**. Players pay a fixed entry fee in Volts to compete against other players in games of skill or in simulated trading; a disclosed platform fee is deducted and the remainder is paid out as prizes by rank. ChartVolt sets no odds, takes no side of any result, adds nothing to and takes nothing from a prize pool beyond its fee, and earns the same whoever wins.

PERIMETER	THE DECISIVE FACTS	POSITION
Betting (Law 37(I)/2019)	Players pay to perform an activity, not to predict an event. No odds, no bookmaker, no house exposure. The result is the player's own measured performance.	OUTSIDE
Games of chance — Circuit Sprint, Volt Stack	Every entrant in a contest receives identical, deterministically generated content; no advantage can be bought; ranking by a published fixed score rule.	SKILL — OUTSIDE
Games of chance — Volt Velocity	Identical track and pickups; no player-versus-player items; grid ordered by prior standing; published 30-second reconnection rule.	SKILL MARKET BY MARKET
Investment services (MiFID II)	No financial instrument, no order leaves the platform, no client assets, no payout that tracks simulated profit.	OUTSIDE
Electronic money (EMD2 Art. 2(2))	Volts are issued and accepted by ChartVolt alone, for ChartVolt's own services. No third party accepts them; no user-to-user transfer exists.	OUTSIDE
Payment services (PSD2)	Every movement of funds is executed by an authorised payment provider. Volts are a limited-network instrument (Art. 3(k)); redemptions return to the payer's own original payment method. Art. 37(2) volumes monitored.	EXCLUDED MONITORED
AML (Directive 2015/849)	Not an obliged entity as a non-gambling, non-financial operator — yet full KYC, hold periods, refund-to-source, fraud and chargeback controls operate voluntarily.	CONTROLLED

THE STRUCTURAL FACT THAT ANSWERS EVERY PERIMETER

Money on ChartVolt moves in one closed shape only: **a player's entry fee into a contest's pool, and a prize out of that pool by rank**. The payout is a step function of finishing position in a pool published before entry — it does not scale with any odds, any price movement or any simulated profit. A player's worst case is the fixed fee; their best case is the published prize. Volts cannot leave that shape: they cannot be sent to another person, spent with another merchant, or withdrawn anywhere except back to the payer's own payment method after identity checks.

CONCLUSION

ChartVolt is a provider of skill-based competitive entertainment and simulated performance assessment. It is not a betting operator, not a gambling operator in predominance-of-skill jurisdictions, not an investment firm, not an electronic-money issuer and not a payment institution. Paid entry is offered only in markets that have been individually reviewed, and is technically blocked elsewhere.

SECTION 3

The Platform as Operated

3.1 The following facts are established at source-code level and can be demonstrated to any authority.

- **Buying Volts.** Players buy Volts at a published rate of **100 Volts = EUR 1**, only through authorised payment service providers (Nuvei, Stripe, Paddle and Atlas). ChartVolt never receives funds outside regulated payment rails. Deposit and withdrawal fees are disclosed before payment.
- **Entering.** A fixed entry fee, published before entry, buys a seat in a **competition** (two or more players) or a **1v1 challenge** (exactly two). There is no paid single-player format. A competition below its minimum is cancelled and every fee refunded in full. Free practice is the only one-player mode, with no prize and no ranking.
- **Identical conditions.** In a ranked contest every competitor receives the same content: the games service refuses to create a ranked round without the contest's shared seed, and generates from it the same puzzles, the same piece sequence or the same track. Simulated traders receive identical virtual capital and the same live price feed.
- **Scoring.** Each title's score and its direction (higher wins, or fastest time wins) are fixed in the catalogue and published. A game provider reports a score only; it never touches money and cannot change how a game ranks.
- **Settlement.** ChartVolt's settlement engine deducts the disclosed platform fee, ranks the players and pays prizes from the pool by the distribution table published before entry. Ties, players with no result and disqualification follow rules published in the competition entry terms.
- **Redemption.** Volts can be redeemed for EUR only to the account holder, through the same authorised providers, after identity verification and the controls in Section 9.
- **No transfers.** There is no feature by which one player can send, gift or sell Volts to another.

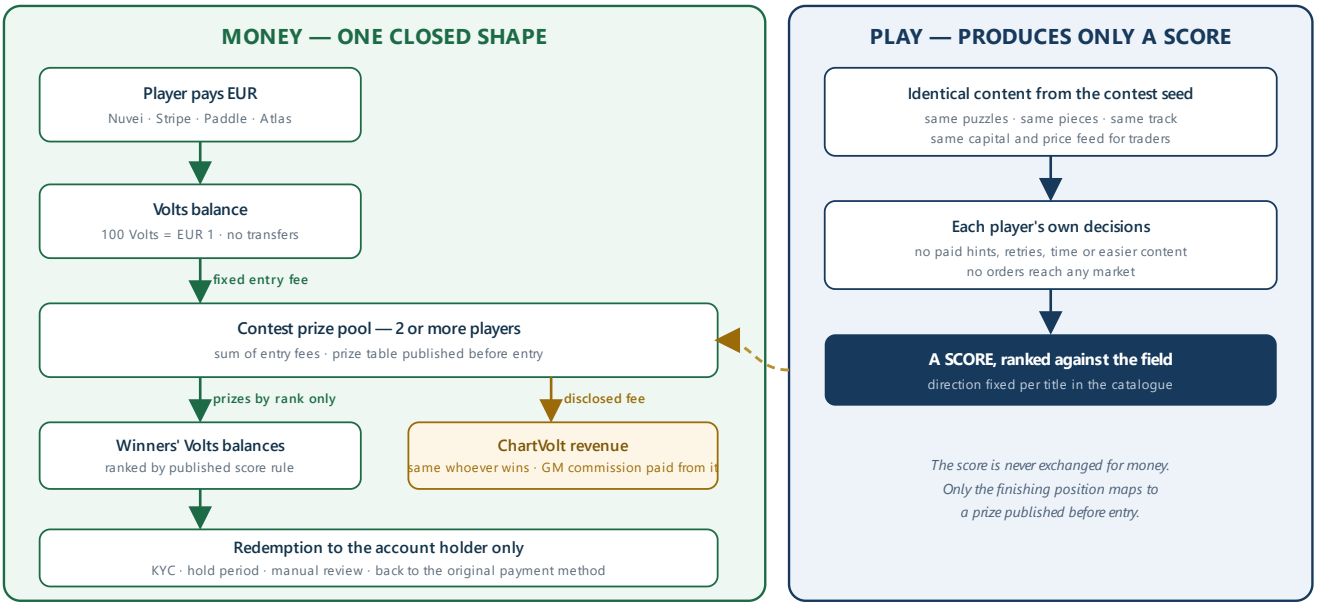


Figure 1. The money shape and the play shape. Play produces only a score; money moves only as fee-in and prize-out, through authorised payment providers.

The current catalogue

TITLE	WHAT THE PLAYER DOES	HOW CONTENT IS FIXED	CATEGORY
Circuit Sprint	Solve as many connection puzzles as possible in a fixed time	Same seeded puzzle sequence for every competitor	A
Volt Stack	Falling-block puzzle	Same seeded piece sequence; "hold" only reorders two known pieces	A
Volt Velocity	Scheduled race; fastest time wins	Same track, pickup layout and hazards; no player-versus-player items	A (counsel confirmation per market)
Simulated trading	Trade on live prices with fictional capital	Same starting capital and price feed for every trader	C

Category A: deterministic or identical-content skill games. Category C: simulated trading, assessed under competition and investment-services rules. Section 11 explains how categories govern where paid entry is offered.

SECTION 4

Gambling and Betting — Skill, Not Chance

4A. Cyprus: outside the definition of betting

4.1 The Cyprus Betting Law, Law 37(I)/2019, regulates betting by reference to wagers on events and outcomes at stated odds. ChartVolt differs on every element that makes an activity a bet: the player pays to *perform* an activity, not to predict someone else's; there are no odds; ChartVolt has no exposure to the result; and the result is the player's own measured performance.

4.2 **Not a casino-type game.** The 2019 Law is generally understood to prohibit online casino-type games. None of ChartVolt's formats is one: there is no random-number draw that selects a winner, no card deal, no wheel, no reel and no house bank. Every title is a performance test in which the player's input determines the score.

4.3 **Peer-to-peer commission models.** A commission-based peer-to-peer format is not automatically outside gambling law — Malta, for example, licenses peer-to-peer games of chance. The answer is that the commission structure is not what ChartVolt relies on. The reliance is on the absence of chance as the determinant of the winner, which Sections 4B–4D and 5 establish. A peer-to-peer structure without chance is a skill tournament, which is how chess opens, esports tournaments and fantasy leagues operate.

4B. The three-element test

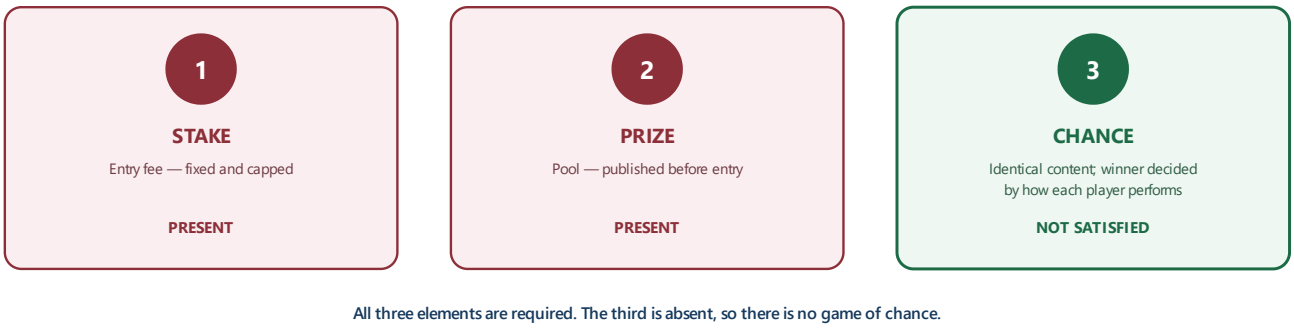


Figure 2. The cumulative stake–prize–chance test applied across EU member states.

4.4 The question in most jurisdictions is whether chance *materially decides the winner*, not whether any uncertainty exists. The UK Gambling Commission's guidance (persuasive, not binding in Cyprus) recognises that unpredictable elements a player must overcome can form part of a test of skill. ChartVolt's answer is engineered rather than argued: **in a ranked contest every competitor faces the same problem**, so whatever uncertainty the problem contains is common to all and cannot separate them. The only differentiating input is how each player plays it.

4C. Title by title

TITLE	WHY THE OUTCOME IS DECIDED BY SKILL	ENFORCING CONTROL

Circuit Sprint	Puzzles are generated deterministically from the contest seed; every competitor solves the same sequence against the same clock. The score is the number solved.	Games service refuses a ranked round without the shared seed; publication refused for a title that cannot take one.
Volt Stack	Every competitor receives the same piece sequence. "Hold" only reorders two pieces the player can already see. Score is earned by placement and line clears.	Same seed requirement; no purchasable item affects play.
Volt Velocity	Same track, pickup layout and hazards. Every pickup affects only the pilot who collects it; missiles and seekers lock only onto towers; ships that touch bounce apart without damage. Fastest time wins.	Player-versus-player items removed in every room; grid by prior standing; published reconnection rule (4D).
Simulated trading	Every trader receives identical capital and the same live price feed at the same time. Price movement is common to all; ranking reflects selection, timing, sizing and risk management.	Ranking by published metrics with minimum-activity and disqualification rules.

4D. Volt Velocity — the live race, controlled

4.5 A live race is the format a regulator is most likely to question, because opponents share the track in real time. ChartVolt has removed each feature that could let something other than the pilot's own driving decide the result:

- **No player-versus-player items.** EMP, shockwave, mines, oil slick, cloak and the blaster are removed. Shields, repairs, energy, overdrive, countermeasure and magnet affect only the collector. Opponents cannot be harmed, slowed or displaced by another racer's pickup.
- **Starting grid by standing, not shuffle.** The grid is ordered by each racer's settled Volt Velocity points from earlier competitions and challenges, highest first, then by time of entry. It is read from the platform through a signed request before the countdown and cannot be changed during a race. If the platform cannot be reached, entry order applies — never a random draw.
- **Published disconnection rule.** A disconnected ship stops while the clock runs. The racer has 30 seconds to reconnect; after that they are out with no score, and dropping out does not return the entry fee. A race cancelled before it starts is refunded in full. If a fault on ChartVolt's side stops a race, the contest's published rule for unfinished rounds applies. The rule appears in the game's rules, on the start screen and on the Help page, so every racer accepts it before paying.

> **HOW PAID RACES ARE OFFERED**
>
> Network quality is inherent to any live race; the disconnection rule makes its consequence known in advance. Paid Volt Velocity races are enabled only in markets where local counsel has confirmed the title's classification as a skill game. In any other market the title is offered free, through the same market-by-market gate described in Section 11.

4E. Why the payment of prizes changes nothing

4.6 Paying money is not itself a licensable activity; the question is what the payment is. It is not investment proceeds (no instrument, no exposure, payout fixed per rank), and not gambling winnings (no odds, no stake multiplier, no chance determinant). It is a **tournament prize**: a fixed award from a pool published before entry, allocated by finishing position in a contest of skill. ChartVolt's revenue is the same whoever wins, and the prize is funded entirely by the entrants — ChartVolt carries no prize liability of its own and no exposure to any result.

SECTION 5

Skill Evidence from Real Data

5.1 Regulators and acquirers ask the dominant-factor question in a measurable form: *do skilled players demonstrably outperform unskilled players over repeated play?* ChartVolt answers it from its own settled results. The administrative **Skill Evidence report** is computed from the final leaderboard of every settled contest, per title, for any date range an examiner chooses, and is exported as a dated PDF prepared for regulatory submission.

MEASURE	WHAT IT TESTS	WHAT SKILL LOOKS LIKE
Score stability	For players who entered the same title more than once, how closely each player's results agree from one contest to the next.	A strong positive correlation: good players stay good. Under pure chance, one contest says nothing about the next.
Experience and winning	Whether players with more contests behind them finish higher, grouped by experience band and measured by correlation.	Win rate and finishing position improve with experience. Under chance, experience has no effect.
Spread of winners	How many distinct players won, and how often the same players won again, compared with the number expected if each winner were drawn at random from the field.	Fewer distinct winners and more repeat winners than chance would produce.

EVERY FIGURE IS SHOWN BESIDE ITS CHANCE BASELINE

The report does not present a number on its own. Each measure is printed next to what the same field of players would produce if winners were drawn at random — the expected number of distinct winners, and the probability that any single player wins at least once — so an examiner can see the size of the departure from chance, not merely its direction. A field dominated by one repeat winner is identified as such rather than mistaken for randomness.

5.2 **Why this evidence is reliable.** It is drawn from production data the platform already holds, not from a study commissioned for the purpose. It covers every settled contest in the period, not a selection. It can be regenerated on demand for a later period, so the evidence keeps pace with the catalogue, and it is reproducible: the same date range returns the same figures.

5.3 **Supply to authorities and partners.** ChartVolt supplies the report for each Category A title, and for simulated trading, on request, together with the underlying aggregate counts. Individual players are not identified in the report.

SECTION 6

Investment Services — MiFID II

6.1 Investment-firm authorisation attaches to the performance of investment services or activities *in relation to financial instruments* (Directive 2014/65/EU, Article 4(1)(2) and Annex I). Both limbs must be present. Neither is.

MIFID II TRIGGER	THE PLATFORM	ENGAGED?
Financial instrument (Annex I, Section C, including derivatives and CFDs)	Virtual positions are database records conferring no right to any asset, cash flow or settlement. They cannot be redeemed, transferred or settled.	NO
Reception, transmission or execution of orders	No order ever leaves the platform. There is no broker connection, venue membership or execution infrastructure; prices are read-only data.	NO
Dealing on own account	ChartVolt is never a counterparty to a position and has no exposure to any simulated result.	NO
Portfolio management or investment advice	None offered; no personal recommendations.	NO
Safekeeping of client financial instruments	None held. Only Volts exist, and funds move only through authorised payment providers.	NO

Economic substance

6.2 Supervisors assess novel products by economic substance: does the arrangement give the customer monetary exposure to the price movement of an underlying? It does not.

- A CFD pays in proportion to the price move. A ChartVolt prize is a **step function of finishing position**: first place receives the same published prize whether the winning simulated return was 0.5% or 50%.
- The maximum loss is the entry fee, fixed before entry; no market movement can increase it. There is no margin, no negative balance and no money at market risk.
- The counterparty to each player's monetary outcome is the field of other entrants, through the pool — not ChartVolt and not the market.
- Simulated profit is never paid out, in whole or in part. There is no profit-split, and no pathway from a competition to a live brokerage account.

6.3 **Regulatory posture.** The Czech National Bank stated in 2024 that platforms operating wholly on simulated accounts do not require authorisation while they remain within the simulated model. Belgium's FSMA (2024) and Italy's CONSOB (2024) criticised paid trading "challenges" as consumer-protection

matters without reclassifying them as investment services. Scrutiny in this sector has centred on profit-split "prop firm" models and bridges to live trading; ChartVolt has neither.

POSITION

ChartVolt performs no investment service in relation to any financial instrument and requires no MiFID II authorisation. The maintenance conditions are permanent product rules: no order routing, no bridge to live brokerage, and no payout that scales with simulated profit.

SECTION 7

Electronic Money and Payment Services

7A. Volts are not electronic money

7.1 Under Article 2(2) of Directive 2009/110/EC, electronic money is monetary value issued on receipt of funds **for the purpose of making payment transactions**, and **accepted by a natural or legal person other than the issuer**. Both elements are cumulative. Volts fail the second completely:

- Volts are issued by ChartVolt and accepted only by ChartVolt, for ChartVolt's own services — contest entries and items in ChartVolt's own marketplace.
- No merchant, partner or other player accepts Volts. There is no feature by which a player can send, gift or sell Volts to anyone; the code contains no user-to-user transfer route.
- A prize is not a payment from one player to another. Entrants each pay ChartVolt for a service; the winner receives a prize from ChartVolt out of the pool, under ChartVolt's published terms.
- Game Master commission is a payment by ChartVolt from its own fee under a written agreement (Section 8), not acceptance of Volts by a third party in exchange for goods or services.

7.2 **Redemption does not create e-money.** Redeemability is a duty imposed on e-money issuers; it is not what defines e-money. A prepaid balance that only its issuer accepts remains a prepayment for the issuer's services whether or not the issuer refunds it. ChartVolt's redemption returns a customer's own balance to that customer — no value reaches a third party at any point.

7B. Payment services — no payment service performed by ChartVolt

7.3 PSD2 (Directive (EU) 2015/2366) Annex I lists the regulated payment services, among them operating payment accounts, executing payment transactions and money remittance. Every movement of funds into and out of ChartVolt — purchase of Volts, redemption, refund — is executed by an authorised payment service provider under its own licence. ChartVolt does not hold customer funds on behalf of a payee, does not transmit funds to any third party and does not issue payment instruments.

7.4 **Limited-network exclusion, Article 3(k).** PSD2 excludes instruments that can be used only to acquire goods or services in the issuer's premises or within a limited network of service providers under direct commercial agreement with the issuer. Volts fit its purpose exactly: they are usable only on ChartVolt, for ChartVolt's services.

7.5 **Redemption is a refund to source, not a remittance.** Money remittance requires funds to be transmitted to a payee. When a ChartVolt customer redeems Volts, the payer and the payee are the same verified person and, in every live market, the funds return to **the original payment method that funded the account**. In substance the redemption is a refund of an unused prepayment — a familiar consumer-protection feature — and it moves no value to anyone else. The controls around it (Section 9) ensure it cannot be used as a store of value for third-party payments:

- identity verification (KYC) before any redemption, with duplicate-identity detection;

- a minimum-deposit rule and a hold period after deposit, so funds cannot be paid in and immediately out;
- redemption only to the original payment method, so value cannot be redirected to another person or account;
- manual review of every withdrawal request, with per-request, daily and monthly limits and a cap on requests per day;
- a disclosed withdrawal fee, which removes any incentive to use the balance as a transit account.

7C. Article 37(2) — monitored, with a notification route

7.6 A provider relying on the limited-network exclusion must notify its competent authority — in Cyprus, the Central Bank of Cyprus — if the total value of payment transactions under the exclusion over the preceding 12 months exceeds EUR 1 million. ChartVolt monitors that figure on a rolling 12-month basis from its financial ledger, which records every purchase of Volts and every redemption with its amount and date. If the threshold is approached, ChartVolt will file the Article 37(2) notification with the Central Bank of Cyprus and, if useful, use the pre-application exploratory stage the Central Bank introduced on 3 August 2026 to settle the classification of Volts with the authority directly.

> **POSITION**
>
> Volts are not electronic money, because no one other than ChartVolt accepts them. ChartVolt performs no payment service, because authorised providers execute every transfer of funds, and redemptions return a customer's own balance to their own original payment method. Volts fall within the limited-network exclusion of Article 3(k) PSD2, and the Article 37(2) threshold is monitored with a defined notification route.

SECTION 8

Game Masters — A Commission Paid by ChartVolt

8.1 Game Masters are independent partners who bring players to ChartVolt and may run contests on it. They earn a share of the entry fees of players they refer. The legal character of that payment is fixed by a written agreement, the **Game Master package terms**, which every Game Master accepts before purchasing a package. ChartVolt records each acceptance.

ELEMENT OF THE AGREEMENT	EFFECT
Commission paid by ChartVolt	The commission is paid by ChartVolt **out of its own platform fee**, under the written agreement. It is never taken from a player, never deducted from a prize pool and never a payment by one player to another.
Package as a licence	A Game Master package is a licence to ChartVolt's tools, personal and non-transferable.
No score advantages	No Game Master tool, package or item improves any player's score or ranking in a paid contest, and no randomised rewards are offered.
Same controls on payout	Commission redemption passes through the same KYC, hold, refund-to-source and review controls as any other redemption.

8.2 **Why this is a commercial payment by the issuer.** The commission is ChartVolt's own revenue paid to its own commercial partner for a service rendered — introducing customers. It is the same in character as an affiliate commission paid by any online merchant. Volts are the unit in which the commission is booked, but no third party accepts Volts in exchange for goods or services; the e-money element of third-party acceptance (Section 7A) is therefore not engaged.

8.3 **Economic safeguard.** The commission is calculated from ChartVolt's fee, so the platform never pays out more than it earns from a contest. A Game Master's permission to create contests is governed separately and is restricted by game type.

SECTION 9

Anti-Money-Laundering and Financial-Crime Controls

9.1 ChartVolt is not an obliged entity under Directive (EU) 2015/849: it is neither a credit or financial institution nor a provider of gambling services. It nevertheless operates a complete financial-crime control set, because that is what its banking and payment partners require and because the controls are what keep the facts in Sections 4–7 true.

Withdrawal controls — operated in every live market

CONTROL	WHAT IT DOES	SETTING
Identity verification	KYC through Veriff must be approved before any redemption. Duplicate identity documents across accounts are detected and flagged.	Required
Minimum-deposit rule	An account must have funded itself before it can withdraw, so prizes cannot be farmed by unfunded accounts.	Required
Hold period after deposit	Funds cannot be withdrawn until a set period after the last deposit, closing the pay-in, pay-out pattern.	Applied
Refund to original payment method	Redemptions are paid only to the payment method that funded the account.	Required
Manual review	Every withdrawal request enters an administrator queue; automatic approval is off.	Manual
Limits	Minimum and maximum per request, daily and monthly caps, and a maximum number of requests per day.	Applied

Fraud and integrity controls — permanently on

- **Device fingerprinting and multi-account detection** link accounts operated from the same device or showing the same behaviour.
- **IP intelligence** detects VPNs, proxies, Tor and datacentre addresses at sensitive actions.
- **Suspicion scoring** combines signals into a risk score that raises alerts for review; restrictions are applied by an administrator and are recorded, reversible and notified to the player.
- **Collusion resistance.** The two-player minimum, identical content and the absence of any transfer between users leave no channel for passing value from one account to another through a contest.

- **Chargeback management** ingests payment-provider dispute notifications, restricts the account, assembles a case file (identity, device, IP history, entries and ledger) and reconciles the outcome.
- **Audit trail.** Every movement of Volts is a ledger entry with its reason; administrator actions are written to an audit log; acceptance of terms is recorded per user.

WHY VOLTS OFFER LITTLE UTILITY FOR LAUNDERING

Value cannot move between users, so there is no layering channel. Value enters only by card or bank payment through an authorised provider, after which it can leave only to the same verified person, to the same payment method, after a hold and a manual review. Contest outcomes are decided by skill against identical content, so a contest cannot be used to steer value to a chosen account.

SECTION 10

Published Fairness Rules and Consumer Protection

10.1 The rules that make ChartVolt a skill platform are published to players in the **competition entry terms**, which each player accepts before entering a paid contest. Each rule below is also enforced in code (Section 13), so the published promise and the platform's behaviour cannot diverge.

Identical content for every entrant

Every competitor in a contest receives the same puzzles, pieces, track or price feed.

Winners decided by skill

Results are ranked by each title's published score rule; the score direction is fixed per title.

No paid advantages

Nothing sold improves a score or ranking in a paid contest — no hints, retries, extra time, skips or easier content.

No mystery packs

No randomised or mystery items are sold, even cosmetic ones. Buyers see exactly what they get.

Minimum two players

Every paid format has at least two players. A competition below its minimum is cancelled with full refunds.

Refunds

Cancelled and failed contests are refunded in full. The contest states in advance what happens to a player who records no score.

Disqualification

A player disqualified for breaking the rules receives no refund; the rules are published before entry.

Simulated trading is simulated

No real instruments are bought and simulated profit is never paid out.

Consumer protection

10.2 Entry fees, prize tables, the platform fee, the conversion rate and redemption fees are disclosed before payment. A player's maximum loss in any contest is its entry fee. Contest refunds are automatic, not discretionary. Purchases of Volts are invoiced with VAT through ChartVolt's invoicing module. The 14-day right of withdrawal for digital services is handled by express consent to immediate performance at entry, in line with the Consumer Rights Directive.

10.3 **Advertising.** ChartVolt presents itself as skill tournaments with published prizes. It does not advertise odds, "bonus bets" or earnings and investment returns, because each would misdescribe the product.

10.4 **Responsible play.** Every contest has a fixed, known cost; there is no auto-entry and no stake that can be increased mid-contest. Free practice is offered, with no prize and no ranking, so a player can build

skill without paying. Player-set deposit limits and self-exclusion are being added to the account settings as further protection.

SECTION 11

Cross-Border Operation and Geo-Gating

11.1 The European Commission treats gambling as unharmonised, so a Cyprus conclusion does not by itself settle the position in Germany, France, Spain, Italy or elsewhere. Some member states ask whether skill predominates; others weigh any material element of chance; some restrict paid skill games with cash prizes specifically. ChartVolt therefore offers paid entry **only in markets it has individually reviewed**.

CATEGORY	MEANING	TITLES	TREATMENT
A	Deterministic or identical-content skill games	Circuit Sprint, Volt Stack, Volt Velocity	Paid entry in reviewed markets; Volt Velocity where local counsel has confirmed it
C	Simulated trading	Trading competitions	Paid entry in reviewed markets, assessed under competition and investment rules

How the gate works

- An administrator maintains the list of restricted countries. Paid entry is blocked for those countries; registration can be blocked as well.
- The check uses **two independent signals**: the country of the network connection, supplied at the edge of ChartVolt's infrastructure, and the country the player declared at registration. Either signal falling in a restricted country blocks the action.
- The gate is applied at **registration, competition entry, challenge creation and challenge acceptance** — every point at which a paid commitment is made.
- Connections whose country cannot be determined can be treated as restricted, and VPN and proxy detection (Section 9) catches attempts to disguise location.

> **POSITION**
>
> Paid competition is offered only where it has been reviewed and is technically blocked everywhere else. A new market is opened by a deliberate decision recorded against a legal review, never by default.

SECTION 12

Banks, Acquirers and Payment Partners

12.1 Card-scheme classification turns on mechanics, as the law does. The scheme distinction is between **MCC 7995** (betting and games of chance for monetary prizes) and the skill-game classifications, applied by a dominant-factor review: does skill or chance primarily decide the outcome, and do skilled players outperform unskilled players over repeated play?

MCC	SCHEME DESCRIPTION	APPLICABILITY
7995	Betting, lotteries, games of chance for monetary prizes	NOT APPLICABLE — no random draw decides a winner; identical content; skill ranking (Sections 4–5)
5816	Digital goods — games, including skilled-game competitions	CLOSEST FIT — entry-fee skill tournaments; scheme registration and enhanced monitoring accepted
7994	Skill-game merchants (region-dependent)	ALTERNATIVE — where the acquirer prefers it; geo-gating keeps any gambling-classified market out
6211	Financial trading platforms	NOT APPLICABLE — no real trading occurs (Section 6)

Q1 Are you a gambling merchant?

No. Every competitor receives identical content, no random draw decides the winner, nothing can be bought to improve a score, and prizes are paid by rank from a pool published before entry. The Skill Evidence report (Section 5) shows from production data that results are stable for repeat players, improve with experience and concentrate among fewer winners than chance would produce.

Q2 Are you a trading, CFD or prop-firm merchant?

No. No customer money is exposed to any market; the trading is a simulation and the most a player can lose is a fixed entry fee. No payout tracks simulated profit, there is no profit-split, and no order or account connects to a broker.

Q3 Where is your licence?

None is required: ChartVolt performs no investment service (Section 6), offers no game of chance (Section 4), issues no electronic money and performs no payment service (Section 7). Paid entry is restricted to markets individually reviewed (Section 11). Counsel opinions are supplied for underwriting files on request.

Q4 Is the Volts balance a stored-value or e-money product?

No. Only ChartVolt accepts Volts, for its own services; they cannot be sent to another user or spent with another merchant. A redemption returns the customer's own balance to the original payment method, after KYC, a hold period and manual review. Volts fall within the PSD2 limited-network exclusion and ChartVolt monitors the Article 37(2) threshold.

Q5 What are your AML and source-of-funds controls?

Funds enter only through authorised payment providers. KYC through Veriff is required before any redemption, with duplicate-identity detection; a minimum-deposit rule and hold period apply; redemptions go only to the original payment method; every withdrawal is manually reviewed against limits. Device fingerprinting, multi-account detection, IP intelligence and suspicion scoring run continuously.

Q6 What does the cardholder buy, and what do you pay out?

The cardholder buys Volts, used for fixed contest entry fees and ChartVolt marketplace items — a service, VAT-invoiced. Payouts are tournament prizes by rank from fully funded pools, and redemptions of a customer's own balance to their own payment method. Prize liability is always covered by the entry fees collected; ChartVolt carries no open-ended liability and no exposure to any result.

Q7 How do you handle chargebacks and refunds?

Dispute notifications from the payment provider are ingested automatically, the account is restricted, and a case file with identity, device, IP, entry and ledger evidence is assembled for representment; outcomes reconcile into the ledger. Contests that do not start or are cancelled refund automatically in full. Declined payments never credit an account.

Q8 Which countries do you serve?

Paid entry is enabled only in individually reviewed markets and blocked elsewhere using the network country and the declared country together, at registration, entry and challenge creation and acceptance. ChartVolt will not open a market whose law would require a 7995 classification.

SECTION 13

Evidence Index — Controls Enforced in Code

13.1 Each control relied on in this pack, where it is enforced, and how it can be demonstrated. Paths are relative to ChartVolt's source repository.

CONTROL	WHERE ENFORCED	DEMONSTRATION
Identical content in ranked rounds	`games-service/src/rounds/create.ts`; publication gate in `lib/services/games/contest-preflight.ts`	A ranked round without a seed is refused
Two-player minimum and automatic refund	`contest-preflight.ts`; `cancelCompetitionAndRefund` in `lib/actions/trading/competition.actions.ts`	Under-filled contest cancels and refunds
Score direction fixed per title	`scoreDirection` on `database/models/games/provider-game.model.ts`; `score-direction.service.ts`	Catalogue entry per title
Providers never touch money	Settlement in `lib/services/settlement/`; providers report scores through one ingestion function	Provider interface has no wallet access
Platform fee from the pool, no house side	`settleFeesAndGameMasters` in `lib/services/settlement/fees.service.ts`	Settlement ledger per contest
Volt Velocity: no player-versus-player items	`games-service/src/games/volt-velocity/` (rules copy and item set)	Race rules and live race
Volt Velocity: grid by standing	`orderGrid` in `games-service/src/games/volt-velocity/grid.ts`	Grid order before countdown
Volt Velocity: 30-second reconnection rule	`velocity-server/server/race-room.mjs`	Disconnect test in the race server suite
Marketplace: no advantage, no random packs	Item categories in `database/models/marketplace/marketplace-item.model.ts` (indicator, strategy, cosmetic, Game Master)	No boost or randomised category exists
No user-to-user transfer	No transfer route in the player API	Code inspection
Conversion rate and fees	`database/models/credit-conversion-settings.model.ts`	Disclosed at purchase

Withdrawal controls	`database/models/withdrawal-settings.model.ts` ; `lib/services/withdrawal-validator.service.ts` ; `lib/services/withdrawal/original-method-rule.ts`	Administrator settings and pending-withdrawal queue
KYC and duplicate identity	`lib/services/veriff.service.ts` ; `lib/services/kyc-fraud-detection.service.ts`	Verification record per user
Fraud stack	`device-fingerprint.service.ts` , `ip-detection.service.ts` , `fraud/suspicion-scoring.service.ts`	Fraud dashboard
Chargebacks	`lib/services/security/chargeback-handler.ts`	Case file per dispute
Geo-gate	`database/models/geo-restriction-settings.model.ts` ; `lib/services/geo/geo-restriction.service.ts` , called from registration, entry and both challenge routes	Blocked entry from a restricted country
Published terms and acceptance	`lib/constants/competition-entry-terms-page.ts` ; `lib/constants/gm-package-terms-page.ts` ; acceptance recorded per user	Terms pages and acceptance records
Skill Evidence report	`apps/admin/lib/services/games/skill-evidence.service.ts` and `skill-evidence-stats.ts`	Dated regulator PDF for any period
Ledger and audit trail	`database/models/trading/wallet-transaction.model.ts` ; `database/models/audit-log.model.ts`	Ledger export per account

SECTION 14

Continuing Obligations and Monitoring

14.1 The position in this pack depends on facts ChartVolt controls. ChartVolt treats the following as permanent operating commitments and reviews them on the schedule shown.

COMMITMENT	HOW IT IS KEPT	REVIEW
No title enters paid play without identical content	Publication refused for any title that cannot take a contest seed	Each new title
No product sold improves a score in a paid contest; no randomised items	Published rule; marketplace categories; review of every new item type	Each new item type
Simulated trading stays simulated	No order routing, no brokerage bridge, no profit-based payout	Each trading release
Article 37(2) PSD2 threshold	Rolling 12-month total of purchases and redemptions from the financial ledger; notification to the Central Bank of Cyprus if approached	Monthly
Skill evidence	Skill Evidence report regenerated per title	Quarterly and on request
Market list	A market is added to paid entry only after a recorded legal review; restricted list maintained in the geo-gate	Each new market; annually
Withdrawal controls	KYC, hold period, refund to source, manual review and limits kept on in every live market	Quarterly
Responsible-play features	Player-set deposit limits and self-exclusion added to account settings	Until delivered

COUNSEL CONFIRMATIONS HELD ON FILE

The formal opinion of Cyprus-qualified counsel on the conclusions in Section 15, and local counsel's confirmation for each market in which paid entry — and paid Volt Velocity races in particular — is enabled. Each is supplied to banking and payment partners on request.

SECTION 15

Formal Statement of Position

Re: Regulatory classification of ChartVolt's skill-competition and simulated-trading platform.

15.1 **Investment services.** ChartVolt's simulated-trading competitions are not investment services within Annex I Section A of Directive 2014/65/EU. Participants acquire no financial instruments, place no executable orders, entrust no assets and receive no payment representing an investment return; prizes are allocated by rank from a pool funded by entry fees.

15.2 **Betting.** ChartVolt's competitions are not betting under Law 37(I)/2019: participants pay to perform an activity rather than to wager on an event, no odds are offered, the operator has no exposure to the outcome, and prizes are determined by the participant's measured performance.

15.3 **Games of chance.** In every title offered for paid entry, each competitor in a contest receives identical, deterministically generated content, no advantage can be purchased, and the winner is decided by a published fixed score rule. The outcome is determined predominantly by skill, which is supported by ChartVolt's own skill evidence. Volt Velocity races contain no player-versus-player items, start from a grid ordered by prior standing and operate a published reconnection rule; they are offered for paid entry where local counsel has confirmed that classification.

15.4 **Electronic money and payment services.** Volts are issued and accepted exclusively by ChartVolt for its own services and cannot be transferred between users. They do not meet the third-party-acceptance element of Article 2(2) of Directive 2009/110/EC and fall within the limited-network exclusion in Article 3(k) of Directive (EU) 2015/2366. Every transfer of funds is executed by an authorised payment service provider; redemptions return a customer's own balance to their original payment method after identity verification. Game Master commission is a commercial payment by ChartVolt from its own fee under a written agreement. The Article 37(2) threshold is monitored.

15.5 **Anti-money-laundering.** ChartVolt is not an obliged entity under Directive (EU) 2015/849, and operates identity verification, refund-to-source, hold, review, fraud and chargeback controls proportionate to a closed-loop platform with no transfers between users.

OVERALL

ChartVolt is a provider of skill-based competitive entertainment and simulated performance assessment — not of investment, betting, gambling, electronic-money or payment services. Paid entry is offered only in individually reviewed markets, with the controls set out in this pack operating in each of them.

For and on behalf of ChartVolt
Name, title, date

Adopted by Cyprus counsel
Name, firm, date

Legal and Regulatory References

- Cyprus Betting Law, Law 37(I)/2019.
- Directive 2014/65/EU (MiFID II), Article 4(1)(2), Annex I Sections A and C.
- Directive 2009/110/EC (EMD2), Article 2(2).
- Directive (EU) 2015/2366 (PSD2), Annex I, Article 3(k), Article 37(2).
- Directive (EU) 2015/849 (Anti-Money-Laundering Directive), as amended.
- Directive 2011/83/EU (Consumer Rights Directive), Article 16(m) — digital content and services supplied with express consent.
- Central Bank of Cyprus — licensing process changes for payment and e-money institutions, effective 3 August 2026.
- Czech National Bank — public position on simulated-trading platforms (2024).
- Financial Services and Markets Authority (Belgium) and CONSOB (Italy) — public statements on paid trading challenges (2024).
- UK Gambling Commission — guidance on prize competitions and games of skill (persuasive only).
- Malta Gaming Authority — skill games and peer-to-peer gaming framework (comparative only).
- Card-scheme merchant classification standards — MCC 7995, 7994, 5816, 6211.